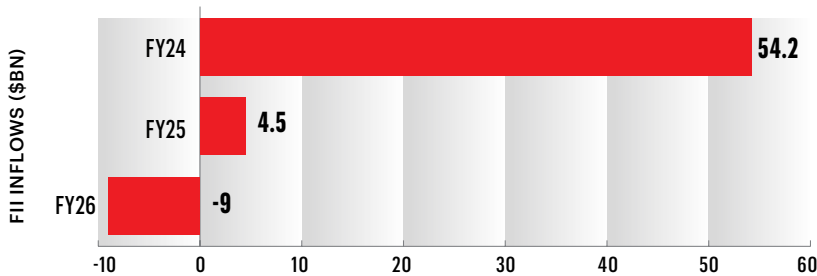
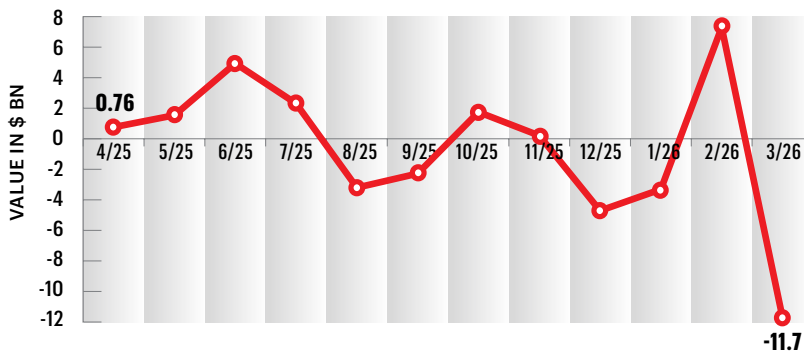


## FII INFLOWS DROP

- Foreign institutions have pulled out a lot of capital from India in the past two years, with net outflows of \$9 billion in FY26



### MONTHLY TREND FOR FII INFLOWS FY26



SOURCE RBI



#### RAJIV KUMAR

CHAIRMAN, PAHLÉ INDIA FOUNDATION

**“Today, investors are not confident of the country’s business environment and are not willing to invest. While government talks about ease of doing business, not much has changed on the ground”**

According to Kumar, while the fall in net FDI is a concern, the bigger worry is the outflow of domestic private capital. This needs to be studied and corrected, he says.

In fact, capital investments by the private sector have been tepid, with the government stepping in to keep growth on track. Chief Economic Advisor V Ananth Nageswaran recently said that though the profits of BSE 500 and NSE 500 firms had grown at 30.8% annually after Covid, private sector capital formation remained disappointing.

In FY25 and FY26, repatriations by foreign firms and overseas investments by Indian companies rose steadily. Several foreign acqui-

sitions by Indian companies have added to outbound domestic capital flows. Data from Grant Thornton Bharat reveals that there were 162 such deals in 2025 by Indian companies amounting to \$18.2 billion.

Big ticket listings like the \$3.3 billion listing of Hyundai Motors India Ltd, whose proceeds the South Korean parent took home, or the IPO of Swiggy that provided an exit to foreign private equity (PE) and venture capital (VC) players, have also weighed on the net FDI tally. There’s a large amount of such PE and VC holdings in Indian companies, especially new-age firms and start-ups that may be pulled out when these firms go public.

The Kotak Institutional Equities report quoted earlier pegs such holdings at \$32 billion at current valuations in large listed entities and even more in unlisted ones. “We note that the bulk of gross FDI outflows of overseas entities over the past few years is due to selling by PE/VC investors and listing by MNCs of their subsidiaries in India,” it said.

To be clear, RBI officials, in an article in the central bank’s May 2025 monthly bulletin, called the rise in net outward FDI and repatriation FDI “a sign of a mature market where foreign investors can enter and exit smoothly, which reflects positively on the Indian